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Case Number: 26STCP02940 Hearing Date: September 24, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Petition for Approval
for Transfer of Payment Rights

The Petition for Approval for Transfer of Payment Rights is denied without
prejudice.

BACKGROUND

Petitioner J.G. Wentworth Originations, LLC (Petitioner) seeks approval of the transfer of certain future structured settlement payments, to which Real Party-in-Interest and Transferor Eric Finn (Finn) is entitled, in exchange for a single payment. Finn became entitled to those payments in settlement of a personal injury claim.

The annuity issuer is Pacific Life Insurance Company, and the structured settlement obligor is Pacific Life and Annuity Services, Inc. Finn proposes to transfer a portion of each monthly payment, a portion of each of the two annual payments, and a portion of the single lump sum payment remaining under the annuity, retaining the balance of each.

Petitioner filed a First Amended Verified Petition and a supporting declaration from Finn. No interested party filed a response.

The Court denied Petitioner's earlier petition to transfer these payments, in case No. 26STCP01881, without prejudice on July 30, 2026. On September 3, 2026, the Court continued the hearing on this Petition on its own motion for supplemental declarations and exhibits.

LEGAL

STANDARD

A transfer of structured settlement payment rights is void unless a court reviews and approves the transfer and finds that (a) the transfer of the structured settlement payment rights is fair and reasonable and in the best interest of the payee, taking into account the welfare and support of his or her dependents, and (b) the transfer complies with the requirements of Insurance Code sections 10134 to 10139.5, will not contravene other applicable law, and that the court has reviewed and approved the transfer as provided in Insurance Code section 10139.5. (See Ins. Code, § 10137, subds. (a)-(b).)

The court must make express written findings that “(1) The transfer is in the best interest of the payee, taking into account the welfare and support of the payee’s dependents. [¶] (2) The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived, in writing, the opportunity to receive the advice. [¶] (3) The transferee has complied with the notification requirements pursuant to paragraph (2) of subdivision (f), the transferee has provided the payee with a disclosure form that complies with Section 10136, and the transfer agreement complies with Sections 10136 and 10138. [¶] (4) The transfer does not contravene any applicable statute or the order of any court or other government authority. [¶] (5) The payee understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136. [¶] (6) The payee understands and does not wish to exercise the payee’s right to cancel the transfer agreement.” (Ins. Code, § 10139.5, subd. (a)(1)-(6).)

Notice of hearing on the petition for approval must be filed and served at least 20 days before the hearing and include all of the following materials: (1) Prior petitions for approval (whether approved or denied); (2) Proposed transfer agreement and disclosure form; (3) Listing of payee’s dependents and their ages; (4) Insurance Code section 10136, subdivision (b), disclosures; (5) Annuity contract (if available); (6) Qualified assignment agreement (if available); (7) Underlying structured settlement agreement (if available); (8) Proof of service (complying with special notice requirements); (9) Notice to all interested parties; and (10) Notification to counsel obtaining structured settlement (if less than 5 years ago). (Ins. Code, § 10139.5, subd. (f)(2)(A)-(L).)

In determining whether to approve the transfer, the Court considers the totality of the circumstances, including the 15 factors subdivision (b) enumerates. (Ins. Code, § 10139.5, subd. (b).) Among them is “[w]hether the financial terms of the transaction, including the discount rate applied to determine the amount to be paid to the payee, the expenses and costs of the transaction for both the payee and the transferee, the size of the transaction, the available financial alternatives to the payee to achieve the payee’s stated objectives, are fair and reasonable.” (Ins. Code, § 10139.5, subd. (b)(9).) The Court “may deny or defer ruling on the petition for approval of a transfer of structured settlement payment rights if the court believes that the payee does not fully understand the proposed transaction and that independent legal or financial advice regarding the transaction should be obtained by the payee.” (Ins. Code, § 10139.5, subd. (b)(14).) The transferee brings the petition, and approval depends on the showing it makes. (Ins. Code, § 10139.5, subds. (a), (f)(1).)

ANALYSIS

I. Notice, Disclosure, and Required Documents

A. Service and Notice

Here, Petitioner served Finn with the original Verified Petition and the notice of hearing on August 6, 2026, but it has not shown that it served him with the operative Petition, or with notice of the continued hearing, at least 20 days before the hearing. (Decl. of Service on Finn, ¶ 4, Ex. A; Ins. Code, § 10139.5, subd. (f)(2).) The operative Petition is the First Amended Verified Petition, which Petitioner filed on August 12, 2026.

First, Petitioner’s proofs of service of the First Amended Verified Petition and of the notice of continuance, served August 12 and September 4, 2026, list Finn’s address as “[To Be Provided At Hearing].” (Proof of Service of First Amended Verified Petition, Service List; Notice of Continuance, at pp. 2-3.) A paper served by mail or by overnight delivery must be “addressed to the person on whom it is to be served.” (Code Civ. Proc., § 1013, subds. (a), (c).) A proof of service by mail must also show “the name and address of the person served as shown on the envelope.” (Code Civ. Proc., § 1013a, pars. (1)-(4).) Thus, neither proof of service shows that Petitioner served Finn by either method.

Second, an employee of Petitioner's counsel declares that, "[o]n August 6, 2026, to present date," Petitioner served Finn at his address, by mail and overnight delivery, with a list of papers that includes the First Amended Verified Petition and the notice of continuance. (Decl. of Service on Finn, ¶ 4.) However, neither paper existed on August 6, and the declarant does not say when Petitioner served either one. The attached delivery confirmation shows only that a package sent to Finn on August 6 was delivered the next day. (Id., Ex. A.)

The earliest later service at Finn's address that the record dates is September 17, 2026, when Petitioner mailed him the minute order continuing the hearing, seven days before the hearing. (Proof of Service of Minute Order Issued September 3, 2026, at pp. 1-2.) Thus, the Court cannot make the finding Insurance Code section 10139.5, subdivision (a)(3), requires.

The notice of hearing includes the statements Insurance Code section 10139.5, subdivision (f)(2)(J) and (K), require. It informs the interested parties that they may support, oppose, or otherwise respond to the Petition, in person or by counsel, and states the manner in which and the time by which written responses must be filed. (Notice of Hearing, at p. 2.)

Petitioner satisfied Insurance Code section 10139.5, subdivision (f)(2)(L), by serving notice of the Petition on Dordick Law Corporation, Finn's attorney of record when the structured settlement was created, on August 6, 2026. (Notice to the Settlement Attorney of Record, Proof of Service.)

B. Documents Required to Accompany the Notice

Petitioner enclosed with the Petition the proposed transfer agreement and the separate written disclosure statement, identified the earlier petition and its disposition, and listed Finn's dependent daughter and her age. (Pet., § III, § VI, ¶ 8 & fn. 1, Exs. A, B.)

Petitioner did not produce the annuity contract, the qualified assignment agreement, or the underlying structured settlement agreement. Finn declares, as to each, that he attempted to locate it, has no record of it, and has told Petitioner that no copy is available. (Pet., Exs. C, D.) That showing satisfies Insurance Code section 10139.5, subdivision (f)(2)(H), as to each document.

C. Disclosure Statement and Advisory Requirements

The disclosure statement is dated July 31, 2026. Finn acknowledged in signing it that he received it at least 10 days before signing the transfer agreement, and he executed the Purchase Contract on August 12, 2026. (Pet., Ex. B, at pp. 1, 3; Ex. A, signature page.) The disclosure statement states the aggregate amount of the payments to be transferred, the purchase price, the discounted present value and the federal rate used to calculate it, the discount rate applied to the transaction, the effective equivalent interest rate, an itemization of expenses totaling \$0, and the court approval, cancellation, and independent advice notices the statute prescribes. (Pet., Ex. B, at pp. 1-3; Ins. Code, § 10136, subd. (b).) The Purchase Contract sets out the same terms. (Pet., Ex. A, § 10; Ins. Code, § 10136, subd. (c).) Petitioner deducted no expenses from the purchase price and bore the court costs and filing fees. (Pet., Ex. B, at p. 1; Pet., § VIII; Ins. Code, § 10139.5, subd. (g).) The transfer agreement designates California law. The Court has identified no provision in it that Insurance Code section 10138 prohibits. (Pet., Ex. A, § 9.G; Ins. Code, § 10138, subd. (a).)

Petitioner advised Finn in writing of his right to seek independent counsel and financial advice in connection with the Petition, and of Petitioner's obligation to pay the fees of counsel, an accountant, or an actuary in an aggregate amount not exceeding \$1,500. (Pet., Ex. A, § 10; Ex. B, at p. 2; Ins. Code, § 10139.5, subd. (h).) Finn knowingly waived independent professional advice in writing. (Pet., Ex. E [Box A]; Finn Decl., ¶ 12; Ins. Code, § 10139.5, subd. (a)(2).) He states that he understands the terms of the transfer agreement, including the terms of the disclosure statement, and that he does not wish to exercise his right to cancel it. (Finn Decl., ¶ 13; Ins. Code, § 10139.5, subd. (a)(5), (6).)

Thus, Petitioner has satisfied the disclosure and advisory requirements of Insurance Code sections 10136, 10138, and 10139.5, subdivision (h).

D. Contents of the Petition

The Petition and the supporting declarations state Finn's name, age, address, and marital status; his daughter's name, age, and place of residence; the amounts and sources of his monthly income; that he has no child support obligation; and that he has attempted no transfer of these payments other than the earlier petition by Petitioner. (Pet., ¶ 2, § III, § VI, ¶¶ 1, 6-9 & fn. 1; Finn Decl., ¶¶ 1, 8; Finn Supp. Decl., ¶ 14; Ins. Code, § 10139.5,

subds. (c), (d).)

II. Best Interest of the Transferor

A. The Payments Transferred and Retained

The annuity provides monthly payments of \$7,220.67 for 23 years, beginning February 15, 2024; annual payments of \$7,500 each May 1, beginning in 2025; annual payments of \$7,500 each November 1, beginning in 2025; and a guaranteed lump sum of \$250,000 due February 17, 2032. (Pet., Ex. C.) Finn agreed to transfer \$4,220.67 of each monthly payment from January 15, 2027 through December 15, 2031; \$5,220.67 of each monthly payment from January 15, 2032 through January 15, 2047; \$2,500 of each annual payment through 2031; \$5,500 of each annual payment from 2032 through 2047; and \$150,000 of the February 17, 2032 lump sum. (Pet., ¶ 4.) The total amount transferred is \$1,551,681.47, against a purchase price of \$630,000. (Pet., Ex. B, at p. 1.)

Finn retains \$3,000 of each monthly payment and \$5,000 of each annual payment through 2031, \$2,000 of each monthly and annual payment from 2032 through 2047, and \$100,000 of the February 17, 2032 lump sum. (Notice of Filing List, Ex. A.) Petitioner's vice president, Michael Rodden, states that the Pacific Life companies agreed to the proposed order, under which Pacific Life Insurance Company will pay the retained portions directly to Finn. (Rodden Decl., ¶¶ 5-7.)

B. Finn's Financial and Economic Situation

Finn is 59 and retired. (Finn Decl., ¶¶ 1, 8.) He receives \$7,220.67 each month from the annuity and \$869 each month from Social Security. (Finn Decl., ¶ 8.) He also receives \$1,086 each month for his daughter, which he describes as coming from his late wife's SSI. (Ibid.)

If, as that description suggests, the payment is a child's insurance benefit on his late wife's record, it ends with the month preceding the month in which the child attains 18, unless the child is disabled or is a full-time elementary or secondary school student. (42 U.S.C. § 402(d)(1)(E).) Finn's daughter turns 18 in October and is enrolled at the University of Redlands. (Finn Supp. Decl., ¶¶ 11, 14.) Nothing in the record suggests that she is disabled. Thus, on this record the payment ends this year.

Finn identifies only the retained payments and Social Security as the sources from which he would meet his expenses after 2032. (Finn Supp. Decl., ¶ 13.) He lists monthly expenses of about \$2,785 for automobile and home insurance, utilities, property taxes, and telephone, cable, and internet service. (Ibid.) From 2032 forward, the retained monthly and annual payments come to about \$2,333 a month. (Notice of Filing List, Ex. A.) With the \$869 Finn receives from Social Security for himself, his monthly income would be about \$3,202. (Finn Decl., ¶ 8.) Thus, after the expenses he lists, about \$417 a month would remain for food, fuel, vehicle maintenance, and every other expense the list omits.

Finn expects cost-of-living increases to his Social Security payment, but he does not account for increases in the expenses he lists, and the property tax figure he uses is the 2026 amount. (Finn Supp. Decl., ¶ 13.) He will also receive \$100,000 of the February 2032 lump sum, but he does not say whether he will hold it for those years. (Notice of Filing List, Ex. A.) Nor does Finn propose to hold any part of the proceeds for those years. Moreover, unless a reserve earned more than the 10.58% discount rate at which the transaction is priced, it would provide less in 2032 and after than the payments he is selling. (Pet., Ex. B, at p. 1.)

Finn states that he applied and qualified for medical, dental, and vision coverage through LA Care at no cost. (Finn Supp. Decl., ¶ 12.) Thus, Finn no longer needs the proceeds for medical insurance. However, Finn does not say whether his eligibility for no-cost coverage depends on his income or assets, or whether receipt of \$630,000 would affect it. (Ins. Code, § 10139.5, subd. (b)(3), (7).) Notably, the Purchase Contract warns that receipt of the proceeds may affect his eligibility for Medicaid and other government benefits. (Pet., Ex. A, § 10.)

C. The Financial Terms and the Stated Uses of Proceeds

The transferred payments have a discounted present value of \$949,301.90, calculated at the applicable federal rate of 5.20%; the transaction is priced at an effective annual discount rate of 10.58%; no expenses are deducted; and the net payment is 66.36% of the discounted present value. (Pet., Ex. A, § 10; Ex. B, at p. 1.) Those terms, standing alone, would not be grounds for withholding approval. However, Insurance Code section 10139.5, subdivision (b)(9), also directs the Court to weigh the size of the transaction and the

financial alternatives available to Finn to achieve his stated objectives.

Finn proposes to use the proceeds to retire his debts, to pay about \$9,000 in current-year taxes, and to pay for his daughter's college education. (Finn Decl., ¶ 11.) He states the balance and rate of each debt: (1) a home equity line of credit with a balance of \$199,999.94 at a variable rate of 6.25%; (2) a vehicle loan with a balance of \$32,091.68 at 9.98%; (3) a second vehicle loan with a balance of \$17,514.49 at 10.54%; (4) a medical balance of \$7,119.46 with no stated interest rate; and (5) a credit card balance of \$10,080.71 at 17.9%. (Finn Supp. Decl., ¶ 10, Ex. A.)

Here, only the credit card has a rate above the 10.58% Finn would pay to retire it. The vehicle loans have rates slightly below 10.58%. At its current rate of 6.25%, retiring the home equity line with the proceeds costs Finn more than it saves. Finn acknowledges as much. He explains that the rate is variable, may rise as high as 18%, and matures in 2050, and that he wishes to be free of the debt and to improve his credit. (Finn Supp. Decl., ¶ 10, Ex. B, at pp. 1-2.)

Finn's daughter is enrolled at the University of Redlands. The \$80,000 annual figure Finn gave includes room and board and all expected costs of attendance. (Finn Supp. Decl., ¶ 11.) Her financial aid award reduces her estimated net cost for this year to \$12,162 after \$8,000 in student loans, and it lists \$6,530 in other estimated costs. (Finn Supp. Decl., Ex. E.) If Finn replaces the loans, as he states he wishes to, her annual cost is about \$26,700. (Finn Supp. Decl., ¶ 11.) At this year's figures, four years of college cost about \$107,000, although Finn expects those costs to rise. (*Ibid.*)

The award letter is dated May 14, 2026, three months before Finn signed the Purchase Contract and the declaration describing an \$80,000 annual cost to be paid from the proceeds. (Finn Supp. Decl., Ex. E; Pet., Ex. A, signature page; Finn Decl., ¶¶ 11, 14.) Thus, Finn agreed to the purchase price against a stated annual cost that aid already awarded had reduced by more than half.

Together, the debts, the taxes, and four years of college account for about \$383,000 of the \$630,000 purchase price. Finn describes the proceeds as a safety net should his daughter lose her Achievement Award or should her aid not continue. (Finn Supp. Decl., ¶¶ 11, 15.) The \$38,000 Achievement Award renews only if she holds a cumulative grade point average of 3.0 at the end of her sophomore year. (Finn Supp. Decl., ¶ 11, Exs. C, E.) Its loss would therefore

cost about \$76,000 over her last two years. Her need-based grants total \$25,790 this year, or about \$77,000 over the three years that remain. (Finn Supp. Decl., ¶ 11, Ex. E.) Finn does not say how much he would hold against either contingency or in what form. Even if he reserved against the full loss of both, roughly \$94,000 of the purchase price would remain with no identified use.

Nor does either contingency justify the size of the transfer. A possible loss of the merit award two years from now does not explain buying the funds now at a 10.58% discount rate. As to the need-based grants, cash held in reserve is a parental asset that Finn acknowledges may reduce those grants. (Finn Supp. Decl., ¶ 11.) Thus, the reserve would partly cause the loss it is meant to cover. Neither Petitioner nor Finn explains why Finn should buy a reserve of that size at a 10.58% discount rate. (Ins. Code, § 10139.5, subd. (b)(9).)

D. Independent Advice

As discussed above, Finn waived independent professional advice in writing. Insurance Code section 10139.5, subdivision (b)(14), separately asks whether the payee received independent legal or financial advice regarding the transaction, and it does not prescribe who must render that advice. The Insurance Code defines the independent professional advice to which subdivision (a)(2) refers:

“‘Independent professional advice’ means advice of an attorney, certified public accountant, actuary, or other licensed professional adviser meeting all of the following requirements: [¶] (1) The adviser is engaged by a claimant or payee to render advice concerning the legal, tax, or financial implications of a structured settlement or a transfer of structured settlement payment rights. [¶] (2) The adviser’s compensation for rendering independent professional advice is not affected by occurrence or lack of occurrence of a settlement or transfer. [¶] (3) A particular adviser is not referred to the payee by the transferee or its agent, except that the transferee may refer the payee to a lawyer referral service or agency operated by a state or local bar association.” (Ins. Code, § 10134, subd. (f).)

Subdivision (b)(14) does not incorporate that definition. Still, the adviser’s independence from the transferee and the content of the advice bear on whether the Court believes that Finn fully understands the transaction. (See Ins. Code, § 10134, subd. (f).)

Finn states that he received independent advice from Devonte Thomas, with whom he discussed his goals and the transaction on September 10, 2026. (Finn Supp. Decl., ¶ 9.)

Here, Thomas's declaration does not show that Finn understands the transaction's financial consequences. First, Thomas is not an attorney, a certified public accountant, or an actuary, the professionals whose fees Insurance Code section 10139.5, subdivision (h), requires the transferee to pay. He is the chief executive officer of a financial services firm, and he holds a life license that permits him to solicit annuities and life insurance policies. (Thomas Decl., ¶ 3.) Second, the record does not show how Finn came to consult Thomas. Thomas states that he is not affiliated with Petitioner. (Thomas Decl., ¶ 5.) Petitioner's own form for the payee's election on independent advice provides for the payee to state that the transferee did not refer him to his adviser, and for the adviser to state who referred the payee. (Pet., Ex. E.) However, neither Finn nor Thomas states whether Petitioner or its agent referred Finn to Thomas.

Third, Thomas describes his advice only in general terms, as advice on the legal, financial, and tax implications of the transfer, although he identifies no license to practice law or accounting. (Thomas Decl., ¶¶ 3-4.) He does not say what he told Finn about any of the matters discussed above. Finally, Thomas states his belief that Finn understands the terms of the transfer agreement, and he reports that Finn does not wish to cancel it. (Thomas Decl., ¶ 7.) Those points go to the terms of the agreement. However, Thomas does not address the transaction's effect on Finn's finances.

Finn's supplemental declaration shows that he understands part of the transaction. He acknowledges that the rate on his home equity line is below the discount rate of the transaction, and that receipt of the purchase price may reduce his daughter's need-based grants. He accepts both consequences. (Finn Supp. Decl., ¶¶ 10-11.) However, his projection for the years after 2032 counts the \$1,086 payment for his daughter, which, as discussed above, ends this year. (Finn Supp. Decl., ¶ 13.) Finn describes his Social Security income as about \$1,955 a month. That income will then fall to the \$869 he receives for himself. (Ibid.; Finn Decl., ¶ 8.)

Therefore, the Court believes that Finn does not fully understand the proposed transaction and that independent legal or financial advice regarding

the transaction should be obtained by him. (Ins. Code, § 10139.5, subd. (b)(14).) The Court has already continued the hearing once, and the best interest showing fails independently for the reasons stated above. Accordingly, the Court denies the Petition under Insurance Code section 10139.5, subdivision (b)(14), rather than defer ruling a second time.

E. Factors Weighing in Favor of the Transfer

The Court recognizes that Finn faces real financial pressure. His statements show the home equity line drawn to \$0.06 of available credit and the credit card over its limit. (Finn Supp. Decl., Ex. A.) That is a hardship situation within the meaning of Insurance Code section 10139.5, subdivision (b)(13), and it weighs in favor of the Petition. So does Finn's stated preference to complete the transaction. (Finn Decl., ¶¶ 3-4; Ins. Code, § 10139.5, subd. (b)(1).)

Additionally, Finn has completed no previous transfer, and he has attempted none with any entity other than Petitioner. (Finn Decl., ¶ 9; Finn Supp. Decl., ¶ 14; Ins. Code, § 10139.5, subd. (b)(10), (12).) He now retains a portion of every payment through 2047. (Notice of Filing List, Ex. A.) Retiring the credit card saves him interest, and retiring the vehicle loans costs him little on the rate. (Finn Supp. Decl., ¶ 10.) He also states that retiring the debts will improve his credit. (Ibid.) The proceeds would also support his daughter's education.

However, the size of the transfer outweighs these factors, as do the absence of other sources of income after 2032 and the use of proceeds priced at 10.58% to retire the lower-rate home equity line and to hold an unallocated reserve. Weighing the totality of the circumstances, the Court finds that Petitioner has not shown that the transfer is fair and reasonable and in Finn's best interest, taking into account the welfare and support of his daughter. (Ins. Code, §§ 10137, subd. (a), 10139.5, subds. (a)(1), (b).)

The Court would approve a smaller transfer, limited to the amount necessary to pay the property taxes on Finn's home, the credit card debt, the two vehicle loans, and the medical balance. The credit card, with a balance of \$10,080.71 at 17.9%, is the only debt Finn lists at a rate above 10.58%. (Finn Supp. Decl., ¶ 10.) The vehicle loans, with balances of \$32,091.68 at 9.98% and \$17,514.49 at 10.54%, have rates close to 10.58%. (Ibid.) Retiring them would cost Finn little in interest and would end their combined monthly

payment of \$926.51. (Finn Decl., ¶ 11.) Finn lists no interest rate or monthly payment for the \$7,119.46 medical balance. (Finn Supp. Decl., ¶ 10.) Unlike the home equity line, which Finn may repay over a term running to 2050, the medical balance is an outstanding bill with no stated payment schedule. Thus, paying it is a proper use of the proceeds regardless of the interest rate.

Finn places the 2026 property taxes on his home at \$9,100. (Finn Supp. Decl., ¶ 13; see Finn Decl., ¶ 11.) Therefore, the Court would approve a transfer whose net purchase price does not exceed the amount needed to pay the property taxes and the balances of the credit card, the vehicle loans, and the medical bill (about \$75,900 on the present record), provided the new transaction otherwise satisfies the statute. A transfer of that size would leave most of Finn's annuity income in place to meet his recurring expenses, including his daughter's remaining cost of attendance after aid.

A new transfer agreement requires a new disclosure statement, provided 10 or more days before Finn executes the agreement. (Ins. Code, § 10136, subd. (b).) Notice of the new petition must be filed and served on Finn and every other interested party not less than 20 days before the hearing. (Ins. Code, § 10139.5, subd. (f)(2).)

Accordingly, the Petition for Approval for Transfer of Payment Rights is denied without prejudice.

CONCLUSION

The Petition for Approval for Transfer of Payment Rights is denied without prejudice.